

MICROSOFT COPILOT

Copilot, without the guesswork.

A leadership guide to licensing, cost, and rolling out AI
without overwhelming your team.

Healthcare-forward, general enough for any knowledge-worker org. Current July 2026.

Three things stall every Copilot rollout.



The licensing maze

Chat, Copilot, Premium, Cowork, agents, credits. People buy the wrong thing and lose money and trust.



Fear of exposing data

In a health system, one overshared site plus an eager assistant is a compliance conversation nobody wants.



Tool overwhelm

Drop six new capabilities on a team in a week and adoption dies. The worry is real, and avoidable.

You already believe Copilot can help. This guide removes what stops you from acting on it.

Two tiers, one usage layer. That is the whole model.

TIER 1 - THE FRONT DOOR

Microsoft 365 Copilot Chat

Included with your M365

Web-grounded AI with enterprise data protection. Safe to give broadly. Builds the habit at no added seat cost.

TIER 2 - THE PAID SEAT

Microsoft 365 Copilot

Add-on, ~\$30/user/mo (confirm live)

Grounds on your own data, edits in the Office apps, adds Researcher and Analyst, and zero-rates most agent use.

USAGE LAYER - ON A PAID SEAT

Cowork & agents

Billed by usage in Copilot Credits

Cowork runs multi-step work on its own. Agents run across both tiers. Off until an admin turns them on.

There is no “Copilot Premium” to buy. It is an in-app label for the paid seat. Use two names: Chat (free) and Microsoft 365 Copilot (paid).

Who gets what, by role.

ROLE	RECOMMENDED TIER	COMES WITH THE SEAT	PAYS EXTRA
Director / Exec	Paid seat	Meeting + email synthesis, Researcher, Analyst	Cowork usage
Manager	Paid seat	Recaps, team roll-ups, coordination	Cowork usage
Analyst	Paid seat	Excel + Analyst, data-to-deck	Cowork, Studio, Azure
Knowledge worker	Start free, graduate	Web chat, file upload, approved agents	Paid seat when engaged
Engineer / Dev	GitHub Copilot + seat	Code assist, collab, doc drafting	Studio license, Azure
Frontline (F-plan)	Free Chat if eligible	Web chat on eligible plans	Paid add-on on F1/F3
Security / Compliance	Security Copilot	SOC workflows, governance tooling	Per product terms

— **START HERE**

Governance is step zero, not step eight.

Decide who owns AI, what data is in bounds, and where the guardrails are before you buy a seat. Two halves:

THE PEOPLE SIDE

■ **AI governance committee**

One group owns the decisions: sponsor, IT, security, compliance, a business voice, HR.

■ **AI in mission and strategy**

Leadership frames it as how you work now, not a tool IT bought.

■ **Culture from the top**

Change management is a leadership job, not a training deck.

■ **A champion network**

The bottom-up engine that pairs with top-down sponsorship.

THE PLATFORM SIDE

■ **SharePoint Advanced Mgmt**

Comes with your paid seat. RCD + Data Access Governance to fix oversharing.

■ **Microsoft Purview**

Sensitivity labels, DSPM for AI, audit. Depends on your Purview / E5 licensing.

■ **Agent Registry + Agent 365**

One inventory to observe, approve, block, and secure agents.

■ **Least privilege**

Run agent governance with the AI Administrator role, not Global Admin.

The one fact that drives your budget.

Paid seats zero-rate most employee-facing agent use.

Free-Chat users pay per interaction.

WHAT AN ACTION COSTS (PAY-AS-YOU-GO, ~\$0.01/CREDIT)

Classic answer	1 credit
Generative answer	2 credits
Agent action	5 credits
Grounding on your data	10 credits
Grounded generative answer	12 credits

YOUR COST CONTROLS

■ Copilot Credits

Renamed from “messages” in 2025, same rate. PAYG bills through Azure.

■ Prepaid = a hard ceiling

Agent flows stop at 100% of capacity; custom agents disable at 125%.

■ Pay-as-you-go = alerts

Keeps billing past your alerts, so set per-agent caps on purpose.

■ Cowork spend limits

Tenant, group, and per-user caps with usage alerts.

Agents: build, use, govern.

WHO CAN BUILD

Agent Builder

Business users, on a paid seat. Simple declarative agents.

Copilot Studio

IT and power makers. Full agents, governed environments.

Azure AI Foundry

Developers. Code-first, Azure RBAC and billing.

WHO CAN USE

Paid seat

Full Agent Store, Researcher and Analyst, most use free.

Free Chat

Approved pay-as-you-go agents, metered per use.

Shared agents

Consumers need no Studio license. Usage bills the tenant.

WHO GOVERNS

Agent Registry

One inventory. Block, allow, approve. AI Administrator role.

Power Platform DLP

Force sign-in, block risky connectors, route makers.

Agent 365

The control plane as agents scale: observe, govern, secure.

Healthcare and compliance.

COVERED UNDER YOUR BAA

Microsoft 365 Copilot and Copilot Chat are HIPAA in-scope, with the BAA auto-included.

Web-search queries are the exception: keep PHI out of web-grounded prompts.

THE PRODUCT BOUNDARY

Microsoft 365 Copilot is for knowledge and admin workers.

Dragon Copilot is the separate product for clinicians doing ambient documentation. Different license. Neither is a medical device.

THREE DATED ITEMS TO HANDLE

July 24

OpenAI-operated models become enabled by default. They lack HITRUST, SOC 1, and FedRAMP High. Disable them if you need those.

July 31

New Restricted SharePoint Search enablement is blocked. Move oversharing control to Restricted Content Discovery.

Ongoing

Anthropic (powers Cowork and Researcher) sits outside the EU Data Boundary. Confirm BAA coverage before PHI-adjacent use.

 **MAKE IT STICK**

Roll it out without overwhelming the team.

Adoption is a habit you build in waves. Governance stands before Phase 1, not inside it.

PHASE 1 - PROVE

Weeks 1-4

- Free Chat to a broad group
- Paid seats to a small high-ROI cohort
- Name 3-5 champions
- Teach one or two daily habits

PHASE 2 - EXPAND

Weeks 5-10

- Graduate engaged Chat users to seats
- Ship one governed agent
- Share modeled assisted-hours
- Turn on Cowork for a few, with a cap

PHASE 3 - SCALE

Weeks 11+

- Expand department by department
- Open building to governed makers
- Roll Cowork to roles that earn it
- Review usage and spend monthly

DO THIS NEXT

Where to start this quarter.

1

Stand up your AI governance committee

Name the executive sponsor. This is step zero, before any spend.

2

Turn on free Chat for everyone eligible

It is already included. Handle the web-search path for PHI-heavy groups first.

3

Buy a focused block of paid seats

Dozens, not thousands. Leaders, managers, analysts.

4

Do the oversharing work

SharePoint Advanced Management, and stand up the Agent Registry before you scale agents.

5

Handle the three dated compliance items

The July 24 one first.

**Free Copilot for everyone. Paid
seats where the work is heavy.
Agents with a governed on-switch.**

We expand on what the data shows, not what people ask for.

The full interactive guide: heyitsgoad.github.io/copilot-playground